Schedule 2

RULES
ISLE OF MAN WORKPLACE PENSION
Approved under the Part 5A of the 1970 Act

(the “S61 Plan”)

1 Introduction

1.1 This section of the Scheme, as constituted by the Declaration of Trust and the rules in this Schedule 2 (the “S61 Plan”), is a personal pension scheme designed for approval by the Assessor under Part 5A of the 1970 Act. It forms part of an authorised scheme under Section 3 of the 2000 Act, the sole purpose of which is the provision of relevant benefits as defined in Section 53 of the 2000 Act via Fund Withdrawals, annuities or lump sums for or in relation to the Members.

1.2 To the extent the S61 Plan receives a transfer that contains UK Tax-Relieved Funds, it shall satisfy whatever HMRC and UK law requirements apply to such UK Tax-Relieved Funds from time to time.

2 Interpretation and definitions

2.1 Unless otherwise stated, statutory references refer to the statutory provisions of Tynwald. Reference to any Act of Tynwald or of the Parliament of the United Kingdom or to any regulations shall include any amendment or re- enactment thereof.

2.2 The interpretation provisions contained in the Deed shall apply mutatis mutandis to these Rules.

2.3 The definitions contained in the Deed shall apply mutatis mutandis to these Rules. Terms not otherwise defined shall have the meanings ascribed to them under the 1970 Act, 1989 Act, the 2000 Act or the General Administration Regulations (as the case may be).

2.4 The following expressions shall have the following meanings:

“1970 Act” means the Income Tax Act 1970.

"1974 Act" means the Income Tax (Instalment Payments) Act 1974.

"1989 Act" means the Income Tax Act 1989.

"1989 Act Plan" means the part of the Scheme as constituted by the Declaration of Trust and the Rules as set out in Schedule 1, as both may be amended from time to time.

"1993 Act" means the Pensions Schemes Act 1993 (an Act of Parliament) as applied to the Isle of Man.

"2000 Act" means the Retirement Benefits Schemes Act 2000.

“2006/207 Regulations” means The Pension Schemes (Application of UK Provisions to Relevant Non-UK Schemes) Regulations 2006 (SI 2006 No.207) of Parliament.

"Application Pack" means an application pack containing, inter alia, such information as may be required by the Scheme Administrator to satisfy the Scheme Administrator that an applicant is eligible to join the S61 Plan (including, without limitation, a declaration by the applicant that he has satisfied the requirements applicable to participation in an Approved Scheme), completed by each Member before they join the S61 Plan.

"Approval" means, in this Schedule 2, approval of the S61 Plan under Part 5A of the 1970 Act and withdrawal or revocation in relation to Approval shall mean withdrawal of approval of the S61 Plan under Part 5A of the 1970 Act. For the avoidance of doubt, Approval shall include compliance with such conditions as the Assessor attaches to his approval of the S61 Plan under Part 5A of the 1970 Act.

"Approved Insurer" means an insurer approved by the Assessor for this purpose and such an approval may specify named insurers or classes of insurers which are to be treated as approved.

"Approved Scheme" means, in this Schedule 2, a personal pension scheme approved under Part 5A of the 1970 Act (subject to such conditions as the Assessor thinks proper to attach to the scheme in respect of such approval).

"Assessor" means the Assessor of Income Tax of the Isle of Man.

"Civil Partner" and **"Civil Partnership"** have the meaning given in the Civil Partnership Act 2004 (an Act of Parliament), as applied in the Isle of Man.

"the Deed" means the Declaration of Trust dated 4 September 2014 (as may be amended from time to time) under which these Rules are included as a schedule.

"Dependant" means, in relation to a Member, (i) an individual who is (or who immediately before the Member's death or retirement was) financially dependent on the Member, or (ii) a child or adopted child of the Member who has not attained the age of 18 or has not ceased to receive full-time educational or vocational training.

"Fund" means, as the case may be, the value of assets held in trust for or in respect of a Member under the S61 Plan and is the aggregate of:

(a) the accumulated value of the contributions paid into the S61 Plan by or in respect of the Member; and

(b) the accumulated value of any transfer payment(s) accepted by the S61 Plan in respect of the Member;

subject to adjustment to take account of (i) applicable investment returns (positive and negative), (ii) any applicable Pension Sharing Orders, (iii) any transfer or benefit payment out of the Fund in accordance with the S61 Plan, and (iv) any deduction relating to the administration of the S61 Plan pursuant to clause 7 of the Deed.

"Fund Withdrawal" has the meaning as set out in Rule 9.3.

"General Administration Regulations" means The Retirement Benefit Schemes (Domestic Schemes) (General Administration) Regulations 2004 (SD589/04).

"the Member(s)" means such persons as shall at the Trustee's absolute discretion meet the eligibility requirements in Rule 5 and as shall from time to time be accepted into membership of the S61 Plan in accordance with Rule 6 and reference to "the Member" shall, where the context so permits, include reference to a Member to the exclusion of an ex-Spouse of the Member who has become a Member of the S61 Plan pursuant to Rule 5.3.

"Non-Cash Fund Withdrawal" has the meaning given in Rule 9.3.5.

"Pension Date" means the date determined pursuant to Rule 8.1.

"Pension Sharing Order" means an order under Section 31 of the Matrimonial Proceedings Act 2003.

"Rules" means, in this Schedule 2, these rules as set out in Schedule 2, as they may be amended or replaced from time to time.

"S61 Plan" means that part of the Scheme constituted by the Declaration of Trust and the Rules set out in this Schedule 2, as both may be amended or replaced from time to time.

"Scheme" means this self-invested personal pension scheme, as constituted by the 1989 Act Plan and S61 Plan, and as governed by the Deed and the Rules set out in Schedules 1 and 2 thereto as may be amended from time to time.

"Scheme Administrator" means the Trustee or such person appointed from time to time in accordance with Rule 3.2.

"Spouse" means, in relation to a Member, a spouse or Civil Partner.

"Statutory Minimum Age "means age 55 or such other age set out in section 61H(6) of the 1970 Act or any regulations made thereunder PROVIDED THAT in respect of benefits derived from a Fund that contains UK Tax-Relieved Funds the statutory age range in respect of the Member to whom such Fund relates shall not be a date earlier than that which would apply if pension rule 1 under Section 165 of the 2004 Act applied or, if payable earlier, are only payable in circumstances in which they would be authorised member payments if they were made by a registered pension scheme (or are otherwise permitted under HMRC requirements).

"Taxation" means any tax or other fiscal imposition applicable to a beneficiary in respect of their entitlement under the S61 Plan and whether arising in the Isle of Man or otherwise.

"Tax Year" means a period beginning on 6 April and ending on the next following 5 April.

"Trustee" means the First Trustee and thereafter, such other person(s) as may be appointed from time to time as trustee of the Scheme in accordance with clause 4.5 of the Deed.

"**UK Tax-Relieved Funds**" means, in relation to a Member, the sum of the Member's UK tax-relieved fund and his relevant transfer fund as defined respectively by regulations 2 and 3 of the 2006/207 Regulations.

3 Scheme Administrator

3.1 The Scheme Administrator shall be responsible for the management of the S61 Plan and for the discharge of the duties imposed upon the Scheme Administrator under the S61 Plan's governing documentation and by applicable law (including without limitation the 1970 Act, 1989 Act, the 1974 Act, the 2000 Act and any relevant regulations made thereunder, including without limitation the General Administration Regulations).

3.2 Appointment and removal of the Scheme Administrator shall be in accordance with applicable law and clause 4 of the Deed. Without limiting the generality of the foregoing, any Scheme Administrator must be a person who has a fixed place of business in the Isle of Man and otherwise complying with any requirements applicable to registered administrators of retirement benefits schemes under or pursuant to the 2000 Act.

3.3 The first Scheme Administrator shall be the Trustee.

4 Variation

The Rules may be amended from time to time in accordance with clause 9 of the Deed.

5 Eligibility

5.1 Any person other than those specified in Rule 5.2 shall be eligible for membership of the S61 Plan whether or not they are resident in the Isle of Man for the purposes of taxation.

5.2 No person (a) who has not been approved by the Scheme Administrator or (b) whose participation in the S61 Plan may prejudice Approval, shall be eligible for membership of the S61 Plan.

5.3 Subject to the agreement of the Scheme Administrator, a Member's ex-Spouse who has rights under a Pension Sharing Order may become a Member of the S61Plan PROVIDED THAT such ex-Spouse is eligible to become a Member under section 61H of the 1970 Act.

6 Becoming a Member

6.1 A person wishing to become a Member of the S61 Plan (or the legal guardian acting for an applicant who is under the age of 18) shall complete an Application Pack and return it to the Scheme Administrator. Such Application Pack shall be completed to the satisfaction of the Scheme Administrator and may require the inclusion of such additional information as the Scheme Administrator reasonably requests.

6.2 The Application Pack required under Rule 6.1 shall, in such form as the Scheme Administrator may consider appropriate, make provision for and include inter alia the following mutual representation and undertakings:

6.2.1 the applicant (or his legal guardian acting for him), Trustee and Scheme Administrator shall all agree to be bound by the provisions of the S61 Plan;

6.2.2 the applicant (or his legal guardian acting for him) shall represent that he is not already a member of another pension scheme approved under section 61H of the 1970 Act;

6.2.3 the applicant (or his legal guardian acting for him) shall represent that he understands that any payments to the S61 Plan may only be used to provide benefits in respect of the applicant's membership of the S61 Plan and may not be repaid save as permitted under the provisions of the S61 Plan;

6.2.4 where contributions under Rule 7.1 are to be paid via the payroll of the Member's sponsoring employer, such anti-money laundering disclosures and contribution payment terms as the Scheme Administrator specifies; and

6.2.5 where contributions under Rule 7.1 are to be paid directly by the Member, such anti-money laundering disclosures and contribution payment terms as the Scheme Administrator specifies.

6.3 Once the Scheme Administrator is satisfied that, pursuant to Rule 6.2, it has all the information and agreed any terms it requires in respect of a person's participation in the S61 Plan and/or any applicable anti-money laundering disclosures, it shall notify such person in writing as to the date they commence participation in the S61 Plan as a Member.

7 Contributions and application of contributions

General

7.1 The S61 Plan shall not accept contributions other than those paid by a Member or in respect of a Member.

7.2 The S61 Plan may receive non-cash contributions from or in respect of a Member in a Tax Year, at the absolute discretion of the Scheme Administrator (who shall also have the discretion to determine whether or not to seek any consent from the Assessor in respect thereof) and subject to:

(a) the value of the non-cash contributions being determined to the Scheme Administrator's satisfaction in such manner as he deems appropriate;

(b) the deduction of any reasonable administration charges which may apply to the non-cash contributions, including any charges associated with determining the value of the non-cash contributions to the Scheme Administrator's satisfaction in accordance with sub-Rule 7.2(a) above.

Application of contributions for benefits

7.3 The accumulated value of the contributions to the S61 Plan (and any investment returns thereon), shall be used to provide benefits in accordance with the Rules, except in so far as they are used to meet the administrative costs of the S61 Plan and any applicable Taxation.

Limit of contributions

7.4 The aggregate amount of the contributions paid in a Tax Year by or in respect of the Member to any arrangement or scheme that:

(a) provides relevant benefits within the meaning of Section 53 of the 2000 Act; and

(b) is tax approved in the Isle of Man

shall not exceed the limits set by Section 61G of the 1970 Act.

Excess Contributions

7.5 The Scheme Administrator shall satisfy itself that the total contributions made by or in respect of a Member in a Tax Year are within the limit set under Rule 7.4. If this limit has been exceeded in contravention of the provisions contained in Rule 7, the Scheme Administrator shall, taking account of applicable statutory time limits, account for and pay to the Assessor such charges as are prescribed under Section 61S of the 1970 Act. Such charge shall be deducted from the assets constituting a Fund and the value of such Fund shall be reduced accordingly.

7.6 The Scheme Administrator may also, in relation to the reasonable administration of the excess contribution charge under Rule 7.5, recover its costs from underlying S61 Plan assets and reduce a Fund accordingly.

7.7 In the event that the charge applicable under Rule 7.5 and/or the associated reasonable costs applicable under Rule 7.6 exceed the balance of a Fund or cannot be paid in full from such Fund for any other reason, the Scheme Administrator may:

(a) seek to recover this charge (or a proportion thereof) directly from the Member's personal assets held outside the S61 Plan; and/or

(b) pursuant to the operation of clauses 6 and 7 of the Deed, realise assets held in respect of the Fund so as to address the charge (or a proportion thereof).

8 Pension Date

General

8.1 The Pension Date is the date on which a Fund or a proportion thereof shall be first applied to commence payment of benefits for the Member concerned in the form of:

(a) a lump sum pursuant to Rule 9.2; or

(b) a lump sum pursuant to Rule 9.2 and (i) a Fund Withdrawal pursuant to Rule 9.3 and/or (ii) an annuity purchase pursuant to Rule 9.4 and/or (iii) such other benefit as does not prejudice Approval,

and, subject to Rules 8.3 and 8.4, shall be a date on or after the Statutory Minimum Age and notified to the Member by the Scheme Administrator. Taking into account the Statutory Minimum Age, the Member shall give notice in writing to the Scheme Administrator of the Member's proposed Pension Date not less than 60 days prior to such date (or such shorter notice as the Scheme Administrator agrees in writing).

8.2 Where, in relation to a Fund, a lump sum benefit of less than the total value of the

Fund is paid pursuant to Rule 9.2 as at the Pension Date, the remaining value of the Fund following payment of the lump sum may subsequently be applied in accordance with the provisions of Rules 9.3 to 9.6.

Early Payment

8.3 If the Member becomes permanently incapacitated or is subject to 'special circumstances' deemed acceptable to the Assessor the Pension Date may, in accordance with Section 61H(6) of the 1970 Act, be a date earlier than the earliest age within the Statutory Minimum Age. The Member will be treated as permanently incapacitated if the Scheme Administrator has considered suitable medical evidence and is satisfied that the Member is incapable through infirmity of body or mind of carrying on his own occupation or any occupation of a similar nature for which he is trained. The Scheme Administrator shall produce the medical evidence to the Assessor if required.

8.4 Where UK Tax-Relieved Funds are retained, payment of any benefit under Rule 8.3 shall take account of applicable HMRC requirements.

9 Benefits

General

9.1 Benefits as at the Pension Date

9.1.1 Subject to Rules 9.1.2 and 9.1.3, a Fund or a proportion thereof shall be applied at the Pension Date to provide benefits. Such benefits shall take the form of:

(a) a lump sum pursuant to Rule 9.2; or

(b) a lump sum pursuant to Rule 9.2 and (i) a Fund Withdrawal pursuant to Rule 9.3 and/or (ii) an annuity purchase pursuant to Rule 9.4 and/or (iii) such other benefit as does not prejudice Approval.

9.1.2 Where a Member so chooses, he may take a lump sum benefit under Rule 9.2 as at the Pension Date and, at his discretion, delay receipt of the balance of his Fund thereafter.

9.1.3 Where a Member chooses to take pension benefits as at the Pension Date, he must also take his lump sum benefit under Rule 9.2.1 at the same time.

9.1.4 Where practicable, the Member should notify the Scheme Administrator in writing not later than a date prescribed by the Scheme Administrator as to how a Fund should be applied on the Member's death.

9.1.5 Where a Member has failed to determine the benefits payable to or in respect of him prior to his death, the Scheme Administrator may apply the Fund in accordance with Rule 10.17. Alternatively, the Trustee may, with the consent of the Scheme Administrator (where the Scheme Administrator is not the Trustee), exercise its powers under Rule 17.5 in respect of the Fund applicable to the Member.

9.1.6 With regard to any exercise of their powers under Rule 9.1.5 (as applicable), the Scheme Administrator and the Trustee shall have absolute discretion and, subject to Section 20 of the 2000 Act, shall not be liable for any such exercise.

Lump sum benefit

9.2 The provisions of this Rule 9.2 shall apply in relation to any lump sum benefit payable to a Member from his Fund:

9.2.1. The Member must elect to receive a lump sum payment of not less than 40% of the total value of the Fund or such other amount as will not prejudice Approval.

9.2.2 The payment of a lump sum in respect of assets transferred into the S61 Plan should also take into account any restriction or condition as to the level of lump sum benefit that may be paid from such transferred assets which was agreed between the Scheme Administrator and the trustees or managers of the arrangement from which the assets were transferred.

9.2.3. The right to payment of a lump sum is not capable of surrender or assignment.

9.2.4. The payment of the lump sum from the Fund shall not prejudice or potentially prejudice Approval.

9.2.5 A lump sum payable under this Rule 9.2 shall be net of any attributable administration expenses of the S61 Plan and Taxation due.

Fund Withdrawal

9.3 A Member may elect in writing to receive his benefits via a withdrawal of funds from the balance of his Fund after payment of the lump sum (a "**Fund Withdrawal**"). A Fund Withdrawal may take the form of a payment of a cash sum or a Non-Cash Fund Withdrawal pursuant to Rule 9.3.5. Fund Withdrawals are subject to the following conditions:

9.3.1 Any election must be received and acknowledged by the Scheme Administrator in writing to take effect.

9.3.2 A Fund Withdrawal must not prejudice or potentially prejudice Approval. Further, as regards requirements applicable to Approved Schemes, the Scheme Administrator shall have the right:

(a) to refuse any proposed Fund Withdrawal to the extent it is deemed to not be compliant with applicable statutory provisions governing the withdrawal of funds from an Approved Scheme or such other regulatory guidance (whether legally binding or not) that the Scheme Administrator, in its absolute discretion, considers material to the proper administration of a Fund within an Approved Scheme;

(b) to obtain any valuations and actuarial advice it considers appropriate in relation to the S61 Plan as an Approved Scheme.

9.3.3 Subject to available funds and to Rule 9.3.2, a Member may choose to fix or, subject to such administration fees as the Scheme Administrator and Member agree, may vary the level of any Fund Withdrawals from time to time in writing. Instructions as to the level of any proposed Fund Withdrawals and the duration and frequency thereof (where the instructions relate to a series of Fund Withdrawals) must be given in writing to the Scheme Administrator prior to the date the relevant Fund Withdrawal is to be made (or the date of the first such Fund Withdrawal, if the instructions relate to a series of Fund Withdrawals) and, in any event, not later than any date prescribed by the Scheme Administrator.

9.3.4 Any cash Fund Withdrawal will be subject to the Fund having available cash funds to meet any such Fund Withdrawal. To the extent the proposed cash Fund Withdrawal is in excess of available cash funds, it will be limited to the available cash funds and paid after any deductions under the terms of the S61 Plan.

9.3.5 A Fund Withdrawal may take the form of an in specie asset transfer (a "**Non-Cash Fund Withdrawal**"). For the avoidance of doubt, a Fund Withdrawal may take the form of a combination of a cash fund withdrawal and a Non-Cash Fund Withdrawal. A Non-Cash Fund Withdrawal is subject to the following conditions:

(a) the Scheme Administrator shall be entitled to seek the Assessor's consent in relation to any Non-Cash Fund Withdrawal;

(b) any Non-Cash Fund Withdrawal will be subject to a Fund having available cash assets to meet any Taxation, S61 Plan charges or such other charges or disbursements as the Scheme Administrator determines are reasonably required in relation to any such Non-Cash Fund Withdrawal;

(c) the fair market value of the Non-Cash Fund Withdrawal shall be determined to the Scheme Administrator's satisfaction prior to the Non-Cash Fund Withdrawal being made.

9.3.6 A Member who wishes to make a Fund Withdrawal shall have sole responsibility for ensuring that the appropriate and timely directions under clause 6 of the Deed are given to the Scheme Administrator to enable the proposed Fund Withdrawal to be made.

9.3.7 Where a cash Fund Withdrawal is proposed and insufficient cash funds are available within a Fund to satisfy the Taxation, charges or disbursements which may pertain thereto, the level of the Fund Withdrawal which is paid will be reduced accordingly.

9.3.8 A Fund Withdrawal is subject to provisions of the 1974 Act and, as such, the Fund Withdrawal shall be subject to the payment of applicable income tax.

9.3.9 Administration of a Fund Withdrawal may incur such administrative and/or professional charges as the Scheme Administrator determines are reasonable. These charges will be recoverable from the Fund pursuant to clause 7.4 of the Deed and, to the extent they have not been so recovered, may instead be deducted from the value of the Fund Withdrawal at the Scheme Administrator's absolute discretion.

9.3.10 Where any charges are deducted from a Fund or from a Fund Withdrawal pursuant to Rules 9.3.5 or 9.3.9, the Scheme Administrator shall provide the Member with a summary of any such charges upon their deduction from the Fund or Fund Withdrawal, as the case may be.

9.3.11 Subject to Rule 9.3.2 and clause 1.4 of the Deed, it is not a function of the Scheme Administrator or the Trustee to monitor the level, frequency or suitability of any proposed Fund Withdrawals or to provide any advice in relation thereto. Members must seek their own financial, investment and actuarial advice in relation to any Fund Withdrawals they may wish to make and, without derogating from the generality of the foregoing, no information provided to any Member by the Scheme Administrator or the Trustee in relation to any proposed Fund Withdrawal shall be construed as the giving of financial, investment or actuarial advice by the Scheme Administrator or the Trustee in relation thereto.

Annuity

9.4 A Member may elect in writing to apply all or a proportion of his Fund to purchase an annuity for himself, subject to the following conditions:

9.4.1 Any election must be received and acknowledged by the Scheme Administrator in writing to take effect.

9.4.2 The Scheme Administrator must be satisfied that any person who is or may be entitled to payment of the annuity will, under the terms of the annuity, be able enforce his entitlement.

9.4.3 The Member may choose from which Approved Insurer the annuity is to be purchased and shall give the Scheme Administrator written details of the choice not later than a date prescribed by the Scheme Administrator (which, for avoidance of doubt, shall be a date not later than the date on which the annuity is to come into payment) and if the Member fails to give the Scheme Administrator details of his choice of Approved Insurer by that date, the Scheme Administrator will select the Approved Insurer from which the annuity is to be purchased.

9.4.4 An annuity payable to the Member may be guaranteed for such period as is agreed with the Approved Insurer notwithstanding the Member's death within that period.

9.4.5 The Member's annuity:

(a) may be a level annuity, a variable annuity, or an annuity which increases in payment by a fixed percentage or on some other basis as arranged with the Approved Insurer; and

(b) must be paid in instalments not less frequently than annually and may be paid in advance or arrears.

9.4.6 If the Member's annuity is payable for a guaranteed period notwithstanding the Member's death within that period and an annuitant is set to benefit from any such guaranteed period, the Member may elect in writing to the Scheme Administrator and before commencement of the annuity that the annuity shall cease after his or her death but before the expiry of the guaranteed period on the happening of any of the following:

(a) the marriage of the annuitant; or

(b) the annuitant attaining the age of 18 or ceasing to be in full-time educational or vocational training, if that takes place later.

9.4.7 The Member's annuity shall not be capable of surrender or, except as provided in Rule 9.4.8, of assignment.

9.4.8 A Member's annuity which is payable for a guaranteed period notwithstanding the Member's death within that period may be assigned by testamentary will or by the Member's personal representatives in the distribution of the deceased Member's estate so as to give effect to a testamentary disposition, or to the rights of those entitled on an intestacy, or to an appropriation of it to a legacy or to a share or interest in the estate.

Other

9.5 The Trustee may pay such other benefits as may from time to time be permitted under the 1970 Act to the extent they do not prejudice or potentially prejudice Approval.

UK Tax-Relieved Funds

9.6 To the extent benefits payable under Rule 9 are derived from UK Tax-Relieved Funds, the Scheme Administrator must comply with any applicable HMRC or UK law requirements as apply from time to time.

Provision of post-death benefits

9.7 Where it is a requirement of Approval that the value of a Member's Fund be commuted and paid out of the S61 Plan within a specified timeframe of such Member's death (a "commutation condition"), the provision and/or administration of benefits in respect of such Member's surviving beneficiaries under Rules 10 to 14 shall be subject to such commutation condition. For the avoidance of doubt, no commutation condition shall apply under this Rule to the extent it is not a requirement of Approval.

10 Death of Member: pension, and transfer benefits

General

10.1 In the event of the death of a Member, his Fund shall be applied to provide the benefits described in this Rule 10, and may be applied to provide such other benefits as may from time to time be permitted under the 1970 Act and under any regulations made pursuant to the 1970 Act.

Member's option: Fund Withdrawal(s)

10.2 If a Member has elected in writing to the Scheme Administrator on such terms and in such form as the Scheme Administrator may from time to time prescribe, and the Scheme Administrator agrees, a pension benefit may take the form of and may be provided to the Member's surviving Spouse and/or Dependant(s) as one or more Fund Withdrawals. Fund Withdrawals shall be made from the Member's Fund (the value of which, for the purpose of any Fund Withdrawals, shall exclude any amount which is to be paid as a lump sum under the provisions of Rule 10.23 (b)).

10.3 Fund Withdrawals may be paid to one or more Dependants whether or not any pension benefits are being paid to a surviving Spouse.

10.4 Unless the Scheme Administrator otherwise agrees, a Member's election under Rule 10.2 shall not take effect unless the Member agrees with the Scheme Administrator the basis upon which any Fund Withdrawal is to take place.

10.5 A Fund Withdrawal under Rule 10.2:

(a) must not prejudice or potentially prejudice Approval and any regulations that govern the withdrawal of funds from an Approved Scheme;

(b) may be refused where the Scheme Administrator is of the view that it does not satisfy the requirements under (a) above or otherwise puts at risk the S61 Plan's status as an Approved Scheme;

(c) may take place on some other basis which the Scheme Administrator may consider appropriate where, in the opinion of the Scheme Administrator, the basis agreed by the Member pursuant to Rule 10.4 may prejudice Approval;

(c) may be subject to such valuations and actuarial advice as is appropriate in respect of an Approved Scheme; and

(d) shall take effect subject to the conditions set out in Rule 10.21 (a) to (f).

10.6 In relation to Rules 10.5 (a) and (b), respectively, the Scheme Administrator shall have absolute discretion to refuse a withdrawal or to determine an appropriate basis, as the case may be, upon which a Fund Withdrawal may take place.

10.7 Ordinarily, the payment of a Fund Withdrawal to a surviving Spouse shall commence as soon as practicable after the death of a Member save that the surviving Spouse may with the consent of the Scheme Administrator elect to defer payment of the Fund Withdrawal .

10.8 As with Rule 10.7, the payment of a Fund Withdrawal to a Dependant shall, ordinarily, commence as soon as practicable after the death of a Member but may be deferred with the consent of the Scheme Administrator.

Member's option: annuities

10.9 If a Member has elected in writing to the Scheme Administrator at such time and in such form as the Scheme Administrator may from time to time prescribe or find acceptable, and the Scheme Administrator agrees, an annuity shall be paid to the Member's surviving Spouse and/or Dependant(s). The annuity shall be secured by the application of the Member's Fund (excluding any amount which is to be paid as a lump sum under the provisions of Rule 10.23 (b)) as a premium under an annuity contract issued by an Approved Insurer previously chosen by the Member or annuitant in a form prescribed by the Scheme Administrator.

10.10 Annuities may be paid to any one or more Dependants and may be paid whether or not any annuity is being paid to a surviving Spouse.

10.11 Any part of the Fund that cannot be used to secure an annuity under Rule 10.9 or other benefit under the S61 Plan will be used by the Scheme Administrator to meet general administration expenses of the S61 Plan.

10.12 An annuity payable under Rule 10.9:

(a) may be a level annuity, a variable annuity or an annuity which increases in payment by a fixed percentage or may be structured on such other basis as may be agreed with the Approved Insurer who issues it;

(b) may be paid in advance or arrears; and

(c) may be subject to such other terms as are agreed with the Approved Insurer.

10.13 An annuity payable under Rule 10.9 may be agreed between the Approved Insurer and the Scheme Administrator on such terms as they see fit (including, without limitation to the aforementioned, terms as to guaranteed payment periods) save that the terms of an annuity should not prejudice Approval.

10.14 Subject to Rule 10.15, an annuity paid under Rule 10.9 shall not be capable of surrender or assignment to a third party other than the annuitant.

10.15 Any annuity purchased or paid pursuant to Rule 10.9 and payable for a guaranteed period notwithstanding the death of the annuitant within that period may be assigned by testamentary will or by the annuitant's personal representatives in the distribution of the annuitant's estate so as to give effect to a testamentary disposition or to the rights of those entitled on an intestacy or to an appropriation of it to a legacy or to a share or interest in the estate.

10.16 The payment of an annuity to a surviving Spouse or Dependant shall commence as soon as practicable after the death of the Member PROVIDED THAT the surviving Spouse or Dependant (as applicable) may with the consent of the Approved Insurer elect that payment of the annuity shall be deferred.

No Member's option or delegated death benefits

10.17 Where no Fund Withdrawal is payable pursuant to a Member election in accordance with Rule 10.2 and no annuity is payable pursuant to a Member election in accordance with Rule 10.9, the Scheme Administrator may at its absolute discretion apply the Fund to secure benefits payable to the Member's surviving Spouse and/or Dependant(s) by way of:

(a) Fund Withdrawal; and/or

(b) annuity contract; and/or

(c) provide a lump sum; and/or

(d) provide such other benefit that does not prejudice Approval; and/or

(e) provide for a transfer payment in accordance with Rule 13

PROVDED THAT a Member may direct during his lifetime that, following his death, one or more of his Dependants and/or Spouse may direct the Scheme Administrator as to which of options (a) to (e) above are to be given effect (albeit such Dependant and/or Spouse must be aged at least eighteen (18) years and of full mental capacity for this proviso to apply).

Fund withdrawal: Spouse and Dependants

10.18 Where a Fund is applied to provide benefits via a Fund Withdrawal in accordance with Rule 10.17 (a), Rules 10.5 to 10.8 mutatis mutandis shall apply.

10.19 Any Fund Withdrawal will be subject to the requirements that govern the withdrawal of funds from an Approved Scheme. Furthermore, the Scheme Administrator shall have the right to:

(a) determine the administration, basis and terms of a Fund Withdrawal as between potential beneficiaries;

(b) agree with relevant beneficiaries a basis for the investment management of the applicable Fund as a pre-condition to any Fund Withdrawal taking place;

(c) refuse any proposed Fund Withdrawal to the extent it is deemed to not be compliant with applicable statutory provisions governing the withdrawal of funds from an Approved Scheme and/or prejudice or potentially prejudice Approval;

(d) require a Fund Withdrawal to be paid to the Spouse and/or Dependant(s) of a Member, without complying with any consent requirements which might otherwise be applicable, in order to satisfy any statutory minimum withdrawal requirements applicable to the S61 Plan as an Approved Scheme; and

(e) obtain such valuations and such actuarial advice as may be appropriate in respect of an Approved Scheme.

10.20 Having regard to the funds available in a Fund to meet any Fund Withdrawals, the Scheme Administrator may fix or vary the level of Fund Withdrawals from time to time. Where the Scheme Administrator so requires, written instructions as to the level and duration of the proposed Fund Withdrawals must be given in writing to the Scheme Administrator not later than a date prescribed by the Scheme Administrator (which shall be a date prior to the date on which any Fund Withdrawal is to be made).

10.21 A Fund Withdrawal made in accordance with Rule 10.17 (a), shall at all times take effect subject to:

(a) the capping of the Fund Withdrawal as at the level of available cash funds in accordance with Rule 9.3.4;

(b) the conditions pertaining to Non-Cash Fund Withdrawals applicable under Rule 9.3.5;

(c) the capping of the Fund Withdrawal to take account of Taxation, charges or disbursements pertaining to such Fund Withdrawal in accordance with Rule 9.3.7;

(d) compliance with the requirements of the 1974 Act and the payment of applicable income tax in accordance with Rule 9.3.8;

(e) such administration and/or professional charges as the Scheme Administrator determines are reasonable in accordance with Rule 9.3.9; and

(f) such notice provisions as are applicable under Rule 9.3.6 (albeit reference to the Member therein shall refer to the Spouse or Dependant beneficiaries as applicable).

<u>Annuities: Spouse and Dependants</u>

10.22 Where a Fund is applied to purchase an annuity contract in accordance with Rule 10.17 (b), Rules 10.10 to 10.16 mutatis mutandis shall apply as if the annuity were purchased pursuant to Rule 10.9.

<u>Application of a transfer payment on the death of the Member</u>

10.23 Where the S61 Plan has accepted a transfer payment pursuant to Rule 12, and subject to any restrictions the Scheme Administrator has accepted in respect of such transfer payment, the Member may elect via written notice delivered to the Scheme Administrator that on Member's death the Scheme Administrator shall:

(a) apply the whole of the accumulated value of the transfer payment to secure such pension benefits payable to the Member's surviving Spouse or Dependant; or

(b) pay a lump sum in accordance with Rule 9.4, mutatis mutandis, and apply any balance to secure pension benefits payable to the Member's surviving Spouse or relevant Dependants in accordance with this Rule 10

so long as (a) or (b) do not prejudice Approval.

<u>Exercise of Rule 10.17: limit on liability</u>

10.24 Notwithstanding the Scheme Administrator's discretion under Rule 10.17 with regard to the application of a Member's Fund following their death and subject to clause 1.4 of the Deed and compliance with the 1970 Act, nothing done by the Scheme Administrator or the Trustee shall constitute or shall be deemed to constitute the provision of advice in relation to the provision of benefits or the level or suitability of a proposed benefit or any other matter.

10.25 Pursuant to Rule 10.24, a Spouse or Dependant who is a potential beneficiary of a benefit pursuant to Rule 10.17 must seek his own financial, investment and actuarial advice when formulating any request or proposal as to the appropriate administration of the Fund pursuant to Rule 10.17. Whilst the Scheme Administrator and Trustee may take into account such advice and/or request, neither shall be bound to follow such advice or request and, subject to Section 20 of the 2000 Act, neither shall be liable in this regard.

<u>Compliance with Rule 10</u>

10.26 To the extent any provision of Rule 10 or material condition imposed pursuant to Rule 10 is not complied with, to the Trustee's satisfaction, the Trustee reserves the right to implement a partial or complete winding up of the S61 Plan in accordance with Rule 17.

11 Death of Member: lump sum benefits

Lump sum payable as a return of Fund

11.1 In the event of there being no Fund Withdrawal or annuity in payment under Rule 10 as at the date of a Member's death, the Fund (or a proportion thereof) may be paid as a lump sum in accordance with Rule 11.4. A lump sum payable under this Rule 11.1:

(a) is payable net of any administration expenses of the S61 Plan and of any Taxation; and

(b) must not prejudice or potentially prejudice Approval.

Lump sum payable after commencement of benefits

11.2 Where a Fund Withdrawal or annuity has come into payment under Rule 10 prior to the date of a Member's death (save for any amount which is required by virtue of Rule 10.23 to be applied for the purpose of securing pension benefits), the Member's Fund may be paid as a lump sum in accordance with Rule 11.4. A lump sum payable under this Rule 11.2 is payable net of any administration expenses of the S61 Plan and of any Taxation due and payable.

Lump sum payable after commencement of death benefits

11.3 Where a Fund Withdrawal or annuity has come into payment under Rule 10 pursuant to a Member's death, the Fund that remains after such Fund Withdrawal benefits have ceased may be paid as a lump sum in accordance with Rule 11.4. A lump sum payable under this Rule 11.3 is payable net of any administration expenses of the S61 Plan and of any Taxation due and payable.

Payment of lump sum

11.4 Once it has been resolved to make payment of a lump sum that is subject to this Rule 11.4, such lump sum shall be paid by the Scheme Administrator as soon as practicable. The lump sum shall be paid:

(a) in accordance with any specific provisions regarding payment thereof applicable to the relevant investment; or

(b) if (a) is not applicable, at the absolute discretion of the Trustee to or for the benefit of any one or more of the following in such proportions as it decides:

(i) any persons (including the Trustee and the directors of the Trustee from time to time) whose names a Member has notified to the Scheme Administrator in writing prior to the date of his death;

(ii) the Member's Spouse, children and remoter issue;

(iii) the Member's Dependants;

(iv) the individuals entitled under the Member's testamentary will to any interest in the Member's estate;

(v) the Member's personal representatives.

For this purpose a relationship acquired by legal adoption is as valid as a blood relationship.

Compliance with Rule 11

11.5 To the extent any provision of this Rule 11 or any material condition imposed pursuant to this Rule 11 is not complied with to the Trustee's satisfaction, the Trustee reserves the right to implement a partial or complete winding up of the S61 Plan in accordance with Rule 17.

12 Transfers to the S61 Plan

12.1 The Scheme Administrator may accept on written request by a Member and subject to the conditions in Rules 12.2 to 12.4 and Rules 14.1 to 14.3, a transfer payment from a scheme that satisfies the criteria under Rule 12.3 representing the interests of the Member and the interests, if any, of the Member's Spouse or Dependants in those schemes.

12.2 The Scheme Administrator shall when accepting and applying a transfer comply with the requirements applicable to an Approved Scheme and generally with all the requirements of the Assessor.

12.3 The Scheme Administrator may accept a transfer from any scheme or arrangement (including the 1989 Act Plan) that provides 'relevant benefits' within the meaning of Section 53 of the 2000 Act provided that (i) the transferring scheme or arrangement is not a defined benefit scheme and (ii) such transfer does not prejudice Approval. For the avoidance of doubt and without limitation to the generality of the foregoing, transfers may be accepted from:

(a) occupational pension schemes, personal pension schemes, annuity contracts, insured arrangements, and statutory superannuation schemes; and

(b) schemes or arrangements that are established in and governed by a jurisdiction outside of the Isle of Man (assuming such transfer is compliant with the laws of that jurisdiction).

12.4 If the source of a transfer is a tax exempt scheme approved by the Assessor, the Scheme Administrator shall ascertain from the administrator of the transferring scheme the extent the transfer is subject to any restrictions in respect of the form of benefits that may be provided under the S61 Plan.

13 Transfers out of the S61 Plan

Member transfer

13.1 The Trustee shall on a written request being made by a Member in a form prescribed by the Scheme Administrator transfer the Member's Fund to the administrator or trustee of a scheme of which the Member has become a member or which is able and willing to accept the transfer PROVIDED THAT such transfer does not prejudice Approval.

13.2 A Member may withdraw the application for a transfer by notice in writing to the Scheme Administrator at any time up to the point when the Scheme Administrator is committed to a third party in carrying out the Member's request. Where the Member has withdrawn an application he may make another.

13.3 If a transfer is made to a scheme referenced under Rule 13.1 above, the Scheme Administrator shall within 30 days after the date on which the transfer is made provide the administrator of the receiving scheme with information regarding the proportion of the transfer (if any) which is subject to any restriction in respect of the benefits that may be provided under the receiving scheme and any other information which the administrator may reasonably require.

13.4 The Trustee shall when making a transfer comply generally with all of the Assessor's requirements in respect of an Approved Scheme, with the requirements of the 1970 Act and with the requirements of the 1993 Act and the Welfare Reforms and Pensions Act 1999 (an Act of Parliament as applied to the Isle of Man by SD 291/01), and the 2000 Act and any regulations made thereunder.

13.5 With the Scheme Administrator's consent and without prejudice to Approval, a Member may elect different parts of his Fund to be transferred as described in Rule 13.1 to different schemes, but he must elect that the whole of the Fund be transferred.

<u>Spouse and/or Dependant transfer</u>

13.6 Where no Fund Withdrawal or annuity is payable under the S61 Plan (either pursuant to Rule 10.17 or pursuant to the cessation of all Spouse and/or Dependant benefits in payment under Rule 10), the Scheme Administrator may transfer all or a proportion of the Fund to the administrator or trustee of another scheme subject to the following terms:

(a) such transfer is subject to Rule 13.7;

(b) unless the Scheme Administrator agrees otherwise, the transfer must be requested by the Spouse and/or Dependant in a form prescribed by the Scheme Administrator;

(c) the value of the transfer shall relate to the proportion of the Fund attributable to the relevant Spouse and/or Dependant requesting the transfer;

(d) the transfer does not prejudice Approval.

13.7 Where a Spouse or Dependant wishes to use Rule 13.6 to transfer the value of a Fund attributable to them to the S61 Plan (either to an existing Fund that the Spouse and/or Dependant already has under the S61 Plan or so as to establish a Fund for the Spouse / Dependant under the S61 Plan) then the intra-scheme transfer shall take effect subject to the following conditions:

(a) the intra-scheme transfer shall only take effect subject to the Scheme Administrator's consent;

(b) Rule 14.1 shall not apply in that:

(i) no direct payment need be made between the Trustee and the Scheme

Administrator to the extent the relevant Fund is properly reduced to take account of the transfer made to benefit the Spouse and/or Dependant; and

(ii) notwithstanding Rule 14.1, the transfer may be made after the Member's Pension Date.

<u>Transfers post benefits in payment</u>

13.8 For the avoidance of doubt, where benefits in relation to the Fund have come into payment, the balance of the Fund may be taken as a transfer to another scheme in accordance with this Rule 13 save that no transfer may be made unless:

(a) the balance of a Fund is transferred; and

(b) on or before the date of the transfer, the Scheme Administrator provides a certificate to the trustee or manager of the receiving scheme as to the level of the lump sum already taken in respect of the Fund.

14 Conditions for all transfers

14.1 Subject to Rule 14.3, all transfers to be accepted under Rule 12 or made under Rule 13 in relation to a Member shall be effected by a direct cash payment or in specie transfer of assets between the Trustee and the administrator or trustee of the other scheme or through a financial intermediary acceptable to both parties.

14.2 Where a transfer is accepted under Rule 12 or made under Rule 13, the Scheme Administrator shall:

(a) in relation to a transfer received pursuant to Rule 12, verify with the transferring scheme's administrator the extent, if any, that lump sum benefits have already been paid in respect of the incoming Member and/or any other conditions that apply in respect of the transfer;

(b) in relation to a transfer made pursuant to Rule 13, confirm to the receiving scheme's administrator the extent, if any, that lump sum benefits have already been paid in respect of the outgoing Member and/or any other conditions which apply to the transfer; and

(c) to the extent the transfer relates to assets or sums derived from UK Tax-Relieved Funds, give such notices to HMRC as are required pursuant to clause 3 of the Deed and shall generally comply with all applicable HMRC and UK law requirements.

14.3 All transfers accepted from a deferred annuity contract securing benefits by virtue of previous membership of a retirement benefit scheme approved or being considered for approval under Sections 1 or 2 Income Tax (Retirement Benefit Schemes) Act 1978 or under Part 1 of the 1989 Act shall be effected by a direct payment or in specie transfer of assets between the insurance company which issued that contract and the Trustee or through a financial intermediary acceptable to both parties.

14.4 Prior to any in specie transfer of assets accepted under Rule 12 or made under Rule 13, the Scheme Administrator reserves the right at its discretion to determine the fair market value of such in specie transfer prior to such transfer being given effect.

15 Investments

Permitted investments of the S61 Plan, restrictions on investment and procedures in relation inter alia to the making of investments are as stated in clause 6 of the Deed and are otherwise as may be prescribed by overriding law or permitted by the Assessor from time to time.

16 S61 Plan Rules

The provision of these Rules shall override those of any other documents constituting the S61 Plan (including, for avoidance of doubt, the Deed) which conflict with or have the effect of changing the meaning of any of the provisions in the Rules or which prejudice the sole purpose of the S61 Plan being the purpose identified as the sole purpose in Rule 1.

17 Discontinuance of the S61 Plan or part thereof

17.1 The Trustee shall have a general power to wind up the S61 Plan on a partial or complete basis in accordance with the provisions of Rules 17.2 to 17.6 below. For the purpose of this Rule 17, a reference to a Member shall be construed as including the Member's Spouse and/or Dependant beneficiaries, as the context requires. In addition, where section 61T of the 1970 Act applies, the Scheme Administrator shall be obliged to wind up this section of the Scheme in accordance with section 61T.

17.2 Subject to Rule 17.5, the Trustee may at any time wind up the S61 Plan or part thereof (including, without limitation, in the circumstances contemplated in Rules 9.7, 10.26 and 11.5) by formal written resolution, in which event the Scheme Administrator will notify Members of the alternatives available to them under the S61 Plan, including benefits via the purchase of an annuity (subject to the conditions under Rules 9.4.1 to 9.4.8), the transfer of benefits under Rule 13, payment of a lump sum under Rule 11 and such other alternatives as may be available from time to time.

17.3 The Scheme Administrator will set a reasonable period within which Members must notify the Scheme Administrator in writing of their decision as to the provision of their benefits pursuant to Rule 17.2.

17.4 Where a Member does not notify the Scheme Administrator in writing of his decision as provided for in Rule 17.3, a lump sum payment shall be made as follows.

(a) where the Member is alive, to the Member; or

(b) where the Member is deceased, in accordance with Rule 11.

17.5 The Trustee may at any time determine that only a partial winding up of the S61 Plan shall apply, in which event the Trustee shall give notice to the Scheme Administrator identifying the Member or Members in relation to whom the winding up applies, whereupon the Scheme Administrator shall give notice to the Member or Members concerned pursuant to Rule 17.2.

17.6 Upon a winding up (whether partial or otherwise), the Trustee will have power to:

(a) recoup from any Fund which is to be subject to the winding up an amount equal to any tax or reasonable expenses which arise in respect of the Member concerned as a result of the winding up; and

(b) make any other arrangements as the Trustee deems necessary to give effect to the S61 Plan's winding up.

18 Miscellaneous provisions

18.1 The Scheme Administrator may require a Member or any other person to whom a pension or lump sum is payable under the S61 Plan to produce such evidence and information from time to time as is reasonably required for the purposes of the S61 Plan and if such evidence or information is not produced the Trustee may withhold payment of any pension or lump sum in relation to which the evidence or information was required until such time as it is produced.

18.2 If, in the opinion of the Trustee, any person to whom a benefit is payable under the S61 Plan is unable to manage his affairs for any reason, the Trustee may pay the benefit in whole or in part for the maintenance of that person and/or any of his Dependants. The receipt of the payee shall be a complete discharge to the Trustee for the benefit or part thereof so paid.

18.3 The Trustee may decide that any person who is entitled to a payment under the S61 Plan shall cease to have any claim to the payment if (i) at least six years have passed from the date the payment became due, without a valid claim having been made, and (ii) the address of the person concerned is not known to the Trustee, notwithstanding all reasonable steps by the Trustee to ascertain the address.

18.4 Benefits provided under the S61 Plan may not be surrendered, assigned or commuted except in accordance with the Rules.

18.5 Except as permitted by the Assessor, no contribution shall become due on or after the Pension Date or, if earlier, the death of the Member.

18.6 In the case of a transfer into the S61 Plan, the Scheme Administrator shall procure the receipt of any relevant certificate required (by reason of any relevant regulation made by the Treasury under Section 61H of the 1970 Act or otherwise required by law).

18.7 The Scheme Administrator may at any time request of a Member proof of his age. If the age of a Member is found to be incorrect in the records of the S61 Plan, any benefit to be provided or procured in respect of the Member shall be adjusted as the Trustee shall determine.

18.8 Save as otherwise expressly provided in the Deed or in these Rules, if a Member becomes bankrupt or assigns or charges any benefit under the S61 Plan, or attempts to do so, or if any other act is done or event happens by which any benefit would be vested in, payable to or charged in favour of any other person, then the Member shall be deemed automatically to have forfeited all rights to any such benefit immediately prior thereto. In the event that a Member is deemed automatically to have forfeited his rights to any benefit pursuant to this Rule 18.8, the Trustee may pay or apply any such benefit for the benefit of the Member or any Spouse or Dependants of the Member but so that in no circumstances shall any payment be made to an actual or attempted assignee or chargee who is not a Dependant.

18.9 The Scheme Administrator may require a Member to whom a benefit is payable under the S61 Plan to produce such evidence and information from time to time as is reasonably required in respect of the administration of UK Tax-Relieved Funds.

19 Withdrawal of Approval of the S61 Plan

19.1 If Approval is withdrawn or revoked under Section 61H of the 1970 Act, as the case may, the Scheme Administrator shall inform Members (or the Spouses and/or Dependants following the deaths of any Members) within three (3) months of the date of whichever of the following shall occur last:

(a) notice of withdrawal or revocation of Approval is received by the Trustees or the Scheme Administrator; or

(b) notice is received that any appeal against withdrawal or revocation of Approval, following receipt of the notice referred to in Rule 19.1(a) (the "first notice"), has been dismissed or that any withdrawal or revocation is to have effect from a different date to the date set out in the first notice.

19.2 In the event the S61 Plan ceases to be an Approved Scheme, no further contributions shall be payable under the S61 Plan and the S61 Plan shall be wound up in accordance with Rule 17.